

turnover in R&D last year and, as a result, achieved 77% of our turnover in FY 2023-24 from indigenous products. Increasing the level of indigenisation of its products and systems has not only given BEL long-term competitive advantage but also helped in aligning itself with the country's dream of achieving Atmanirbharta (self-reliance) in Defence.

Please tell us about your company's financial performance, turnover, order book position, etc...

BEL has always been a profit-making PSU despite various challenges including stiff competition. FY 2023-24 saw the company achieve a record turnover of Rs. 19,819.93 Crore as against Rs. 17,333.37 Crore in FY 2022-23, thereby registering a growth of 14.35%. The growth was driven by strong performances across all segments. Defence contributed to 81% of revenue in FY 2023-24 with the balance 19% coming from the non-defence segment. Profit after Tax grew by 33.7% to Rs. 4,020 Crore in FY 2023-24 as against Rs. 3,007 Crore in FY 2022-23.

BEL also continued the momentum in order acquisition by booking highest ever annual order inflow of Rs. 35,046 Crore during FY 2023-24. The company's order book position as on January 1, 2025, stands at around Rs. 71,000 Crore, giving it stable revenue visibility.

How do you look at the current international market for defence products, and what strategies is BEL employing to strengthen its global presence?

The Ministry of Defence has set an ambitious target of Rs. 50,000 Crore exports by 2028-29. BEL is, therefore, fast expanding its global presence by making all-out efforts to tap new export markets across the globe. In the last few years, we have made substantial progress, both in terms of export orders acquisition and dispatches. We have identified multiple products and systems for targeted marketing in focussed export markets. In a bid to develop new markets in the Indian Ocean Region and friendly foreign countries (FFCs), we have also operationalised new overseas marketing

offices.

All these efforts have paid rich dividends. Our Exports business saw a robust uptick in FY 2023-24 with sales growing by 92% to a record USD 92.98 Million. BEL's products continued to find increased acceptance in countries such as France, USA, Spain, Israel, Germany, Armenia, Sri Lanka, Mauritius, UK, etc, a clear indication of the company's growing capabilities. BEL also has a healthy Export order book of USD 387 Million USD. BEL is enhancing its geostrategic reach and strategically opening overseas marketing offices in the Indian Ocean Region, South East Asia, Middle East Region and Americas.

Can you elaborate on your diversification plans?

Defence has traditionally been contributing to around 80% of the Company's annual sales revenue. BEL, however, has been continuously exploring opportunities in allied Defence and Non-Defence areas. The Company aims to increase its Non-Defence share in the overall business in the coming years. The total opportunity in the Non-Defence business segment being pursued by BEL in the next 10-15 years is more than Rs. 2 Lakh Crores. Some of the areas BEL is focussing as part of diversification efforts include solutions for Civil Aviation, Unmanned systems, Railway & Metro systems, Network & Cyber Security, Smart City solutions, Space Electronics, Arms & Ammunition and Seekers, Medical Electronics and Artificial Intelligence.

How do you see BEL making an impact in the domestic Defence and non-defence markets in coming years and what are your strategies to retain leadership position in these sectors?

BEL is actively participating in the MoD's Make-I, Make-II and Make-III projects involving indigenous solution development with emphasis on Sub-Systems, Systems and Services for which capabilities and competencies already exist. Further, BEL is also actively investing to develop new capabilities as needed. We will seek to enhance collaborations with DRDO labs, research and premier academic institutions and niche

technology players to develop new products and systems in emerging technologies. Furthermore, opportunities are being explored to build long-term relationships with defence industry participants. Diversification across products, segments, customers, industries and geographies remains an important focus area to unlock new opportunities and scale growth. This includes growing the non-defence business where we see significant prospects, especially in metro, civil aviation and cyber security areas. We will continue to build on our existing competencies and diversify to newer areas.

Additionally, we are pursuing opportunities to expand our customer base in the existing and new geographies. Headed into FY 2024-25, we expect order acquisition in the range of Rs. 25,000 Crores. While we participate in new orders, we will be sharply focussed on the timely execution of the existing order book. We target a healthy revenue growth of 15% driven by the expansion of both defence and non-defence businesses. While there are opportunities galore, we should be watchful of the challenges brought by geopolitical situations, emerging technologies, regulatory changes and evolving customer expectations. We will remain agile and vigilant to effectively navigate them and ensure steady growth path.

Tell us about your expansion plans

From time to time, depending upon the growth needs and opportunities, BEL has been taking major initiatives to modernise and expand its infrastructure. Some of the new infrastructure initiatives taken up recently include setting up of a Defence System Integration Complex for Missiles and Weapon Systems at Palasamudram, Andhra Pradesh; state-of-the-art manufacturing facility for Electro Optics and IIR Seekers at Nimmalur; Fuze manufacturing facility at Nagpur; manufacturing facility for Land-based EW systems at Ibrahimpatnam, Telangana; modernisation of storage magazine and hot integration facility for arms & ammunition at Vellore; and integration facility for QRSAM at Agra.